

Investors in training realise that people don't just throw their money into the stock market and cross their fingers hoping to make a gain. There are strategies, methods and hundreds of years of research that direct an investor's decision-making.

Firstly, there are different levels of risk in the stock market, and this can be both mitigated and matched up to someone's risk levels. (At the end of the book there is a quiz to work out your personal risk profile.) One investment can have a completely different risk profile to another; someone purchasing a Tesla stock would be after a much riskier investment, with the possibility of a higher reward, than another investor who purchases a Coca-Cola stock, a long-standing and stable brand, which, theoretically, encompasses less risk.

Secondly, it's important to discuss how people lose money in the stock market. The next time you hear someone recall how their friend of a friend lost all their fortune in the market, try asking them these three questions:

1. *What did they invest in?* Did they choose a few risky growth stocks after a 'hot tip' that these unheard-of companies were about to take off? Or did they invest in a broad market index fund that diversifies their risk across hundreds of companies and sectors, so that if one sector dropped, another could rise and balance out their investment?
2. *What did they do when they saw their share portfolio drop?* Did they let their emotions take over and decide to panic-sell all their stocks into cash, thus solidifying their losses and not allowing their investments to gain back value once the market recovered? Or did they listen to the advice of their financial adviser and 'hold the course' and not sell their investments? During the GFC, many financial advisers had to beg their clients, even those who were to all intents and purposes intelligent and otherwise well adjusted, to not sell their positions during the dip. Still, many people sold. Those who held ended up not only recouping their money but making a great return in the years following.
3. *What do they have to say about the fact that the S&P 500, the index fund that encompasses the largest 500 companies in the US, has, since its inception, never had a crash that it didn't recover from?* If anyone